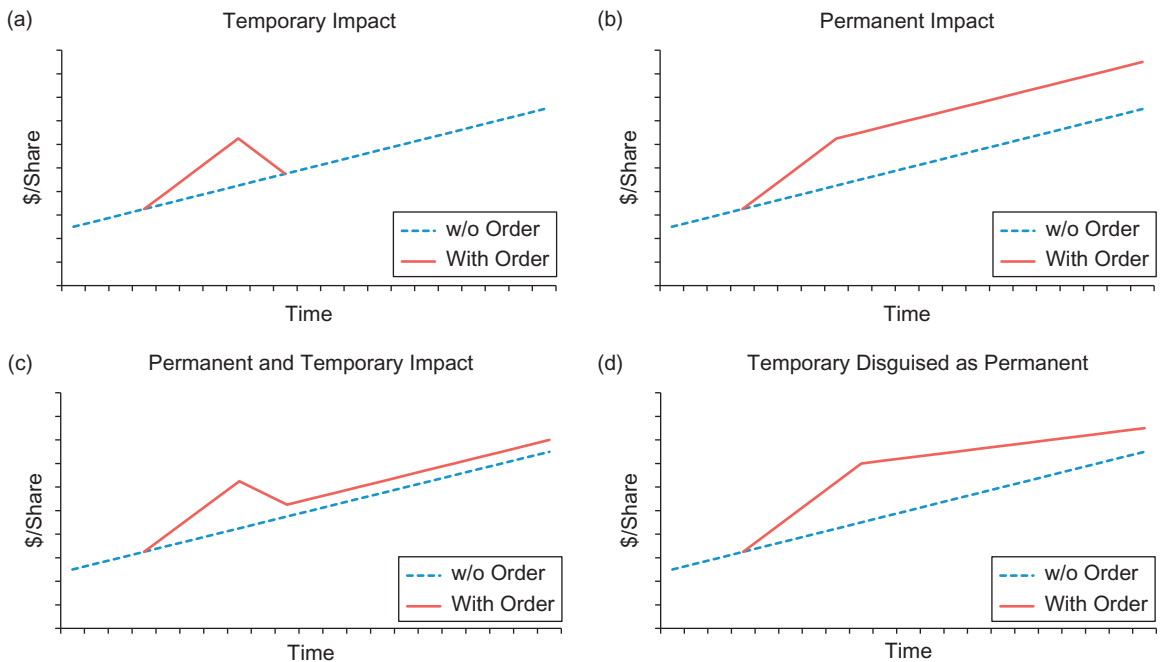




■ **Figure 4.4** Market Impact Trajectories.

completely dissipated by the end of the trading horizon or trade day. Thus, the end of day price is composed of permanent impact with a large quantity of temporary impact still remaining. Uninformed analysis may mistakenly identify the full price dislocation as permanent impact. Incorrect identification can have a dire consequence on post-trade attribution and performance evaluation. Recognizing this prospect, many analysts have begun to employ future prices such as the next day's opening price or the closing price on the next trade day or two trade days hence to ensure temporary impact has fully dissipated.

DEVELOPING A MARKET IMPACT MODEL

To best understand the proposed market impact modeling approach it is helpful to review what has been uncovered in previous studies. First, cost is dependent on number of shares traded (e.g., trade size, total order size, or imbalance). This was demonstrated by Loebb (1983); Holtausen, Leftwich and Mayers (1987); Chan and Lakonishok (1993); Plexus Group (2000), etc. Second, costs vary by volatility and market capitalization, e.g., Stoll (1978); Amihud and Mendelson (1980); Madhavan and Sofianos (1998);